

Unit 3 – Section 5: Assessing Competitiveness

Mixed Topic Practice Questions

4-Mark Questions

1. Define the term 'profit for the year'.
2. Calculate the gross profit margin using the following data: Sales Revenue = £500,000, Cost of Sales = £350,000.
3. Explain one reason why a business might experience cash flow problems even when profitable.
4. Define the term 'liquidity'.
5. Explain one benefit of using human resource ratios to monitor workforce performance.
6. Calculate the current ratio using the following data: Current Assets = £200,000, Current Liabilities = £100,000.
7. Define 'gearing' and state what a high gearing ratio indicates.

8-Mark Assess Questions

8. Assess the importance of monitoring liquidity for a retail business such as Tesco.
9. Assess whether analysing profit margins is useful for comparing the performance of different businesses.
10. Assess the impact of rising labour turnover on the competitiveness of a firm such as Greggs.
11. Assess the usefulness of human resource data in identifying areas of underperformance.
12. Assess the importance of comparing financial performance across different accounting periods.

12-Mark Discuss Questions

13. Discuss whether profitability is the best measure of business success.
14. Discuss the importance of liquidity ratios compared with profitability ratios in assessing financial health.
15. Discuss whether ratio analysis is more useful to internal or external stakeholders.
16. Discuss the extent to which financial and non-financial data should be used together when evaluating performance.
17. Discuss whether a high gearing ratio is always a sign of financial risk.

20-Mark Evaluate Questions

18. Evaluate whether ratio analysis provides a reliable picture of a business's overall performance.

19. Evaluate whether human resource ratios are more important than financial ratios when assessing competitiveness.
20. Evaluate the usefulness of financial statements for decision-making by different stakeholders.
21. Evaluate whether focusing on short-term profitability is beneficial for long-term competitiveness.
22. Evaluate to what extent non-financial measures are more useful than financial data in assessing business success.

Student Reflection & Self-Review

- Identify which formulas or calculations are tested most frequently.
- Check each answer includes full development using context and clear chains of reasoning.
- Include evaluation ('depends on', 'short-term vs long-term', 'stakeholder impact') in all 12–20 mark responses.
- Review how financial and HR measures link together to show competitiveness.